

You'll find that underlying support will stop a downward breakout and overhead resistance will halt an advance. It's as if the roof pattern is just a place where the stock seeks shelter before resuming a trend that is too exhausted to last much longer.

Statistics

[Table 53.2](#) shows general statistics for the roof pattern.

Number found. I catalogued 375 roofs in 283 stocks from 1991 to mid-2019 despite searching over 1,300 stocks. However, that included both bull and bear markets. The bear market totals were too few to be worth including in the tables that follow. Even bull market samples are scarce.

Reversal (R), continuation (C) occurrence. The table shows the roof sorted by how they behave as reversals or continuations. If price entered the roof from the top and exits downward, then it's a continuation pattern. A reversal in this case would have an upward breakout, reversing the downward inbound price trend.

Most of the roofs with upward breakouts were continuation patterns (meaning an upward inbound trend, too). Downward breakouts acted as reversals of the upward trend most often.

Reversal/continuation performance. The best performance came from patterns that acted as a reversal of the downtrend. Those patterns broke out upward and gained an average of 37%. Reversals with downward breakouts also outperformed continuation patterns.

Average rise or decline. The average rise or decline ignores whether the roof acted as a reversal or continuation and just measures the rise or decline. The best performance came after an upward breakout.

Standard & Poor's 500 change. Comparing the 34% average gain from roofs (upward breakouts) with the S&P over the same holding period shows that the general market gained just 9%. Downward breakouts retained more value, though, losing just 1% versus the roof's 15%.

The values for the index also suggest how the general market helped boost the performance of the individual stocks.